

GOVERNMENT POPULARITY AND THE NEXT GENERAL ELECTION

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It is widely acknowledged that the 'Lawson boom' of 1986-8 played a significant role in securing Mrs Thatcher's re-election in June 1987. It has also been suggested that the Conservative victory in June 1983 owed relatively little to the much-vaunted 'Falklands effect' and much more to the economic recovery engineered by Chancellor Geoffrey Howe during the course of 1982.¹ This paper is concerned with the outcome of the next general election. It seeks to establish precisely what John Major and Norman Lamont need to achieve on the domestic economic front if they are to resolve Britain's current economic difficulties and thereby ensure the Conservatives' re-election for a fourth term.

The first section reviews the main economic problems that have confronted the Thatcher and Major governments since 1989. Section two discusses the general evidence which relates variations in government popularity to changes in the macro-economy and shows how this evidence can be used to model both past and future movements in popularity. Section three examines the potential role of the 'third party' vote and its influence on the target vote share for which the Conservatives need to aim if they are to continue as the majority party in the House of Commons. The final section briefly addresses the question as to whether Mr Lamont is indeed likely to be able to conjure the right set of economic circumstances in time for the Conservative Party to face the next general election confident of victory.

The Conservative Government's mid-term problems

Most governments experience 'mid-term blues': the tendency for their popularity, as measured in opinion polls, local elections and by-elections, to decline in the interim between general elections. For some observers,

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¹ David Sanders, Hugh Ward and David Marsh, 'Government Popularity and the Falklands War: a Reassessment', *British Journal of Political Science*, Vol. 17 (1987), pp. 281-313.

this mid-term effect is simply part of the 'natural cycle' of politics. The problem with the notion of a natural cycle, however, is that it fails to specify precisely what it is that actually causes the cycle to move from one phase to the next. As has been suggested elsewhere, the most likely explanation for the consistent loss of popularity encountered by post-war British governments is their tendency (a) to introduce unpopular measures (especially if they involve unpalatable fiscal or monetary 'medicine') relatively early on in their periods of office and (b) to ensure, as far as circumstances allow, that the economy can be gently reflat in the run-up to the next election.²

Whatever the causes of the 'mid-term effect' are, however, it is clear that during the latter part of 1989 and 1990 the Thatcher government suffered a considerable erosion in its popularity. During this same period several things seemed to go wrong with the economy. The balance of payments deficit during 1989 (at £20.3bn) was the largest ever recorded, representing over 3% of GDP. Inflation, which had been at 3.5% at the time of the 1987 election, accelerated to 8% by March 1989; to over 10% by the autumn of 1990. Interest rates, of peculiar significance in Britain because of the large proportion of the population with variable interest rate mortgages on their homes, soared from 8.5% in June 1987 to 15% by the end of 1989, remaining at that level through to October 1990. On the foreign exchanges, as controversy about Britain's putative membership of the Exchange Rate Mechanism (ERM) of the European Monetary System raged, sterling once again became subject to periodic bouts of weakness against other currencies, thus fuelling uncertainty about the future and raising the spectre of further interest rate rises. To make matters worse, these various economic difficulties were interconnected in such a way as to render their joint solution highly problematic. Reducing interest rates might well solve the balance of payments problem because the accompanying fall in sterling would make British exports cheaper and imports more expensive: unfortunately, falling interest rates would simultaneously give an added boost to the dangerous inflationary tendencies that were already apparent within the domestic economy.

These macroeconomic difficulties at the beginning of the 1990s were compounded, however, by the government's commitment to a set of domestic policies that did not find much favour with the electorate. In a Gallup poll conducted in September/October 1989, for example, some 73% of respondents thought that the government's plan to privatise the electricity industry was 'a bad idea'; the equivalent figure with regard to

² As discussed below, the Conservative governments of the 1980s have certainly not been immune from the temptation to use economic policy as a means of boosting the electorate's sense of well-being at exactly the right moments during the lifetime of each Parliament. This is not necessarily to criticise any of Thatcher's Chancellors: any politician firmly committed to the aims and ideals of his or her party is likely to be convinced that 'the best interests of the country' lie in that party remaining in office.

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water privatisation was 83%.³ The same poll found that 64% of respondents considered that the introduction of the 'Community Charge' – the poll tax – was also 'a bad idea'.⁴ Similarly critical attitudes greeted the government's approach towards the National Health Service: in an ICM/Guardian poll, in September 1989, 70% of those interviewed disagreed with the proposition that 'the National Health Service is safe in Mrs Thatcher's hands'.⁵

Throughout 1990, the task that confronted election strategists in all the major political parties was the need to establish how far the government's poor showing in the opinion polls reflected its economic difficulties and how far it reflected the electorate's antipathy towards the government's policies on the poll tax, privatisation and the NHS. Was there any way of telling whether or not an economic recovery – however temporary – would be sufficient to persuade voters to switch their support back to the Conservative party in time for the forthcoming election? Or would the government's insistence on pressing ahead with the Community Charge, with its privatisation programme and with its NHS reforms – allied with the Labour Party's new-found 'credibility' – seriously inhibit the recovery of Conservative support? The position was complicated even further by the unprecedented turn-around in the fortunes of the two major parties which occurred in the wake of Mrs Thatcher's resignation in November 1990. Within days of John Major's accession to the premiership, the Conservatives' standing in the opinion polls, as measured by the 'poll of polls', had jumped from 37% to 47%. At the time of writing (December 1990) it was impossible to ascertain how permanent this boost to Conservative popularity would prove. Nonetheless, if previous leadership changes in mid-term offered any guide, it seemed likely that 'the Major effect' would dissipate over time. In these circumstances, the Conservatives' chances for re-election would still depend strongly – as they had before Mrs Thatcher's departure – on the condition of the British economy.

An economic model of government popularity 1987–90

Since the early 1970s several writers have sought to establish connections between movements in macroeconomic indicators and variations in support for the governing political party.⁶ One of the central conclusions implied by this research is that these connections themselves vary over time: in some time periods, for example, changes in unemployment have

³ *Gallup Political Index*, October 1989.

⁴ *Ibid.*

⁵ *The Guardian*, 18 September 1989, p. 20.

⁶ For review, see Martin Paldam, 'A Preliminary Survey of the Theories and Findings of Vote and Popularity Functions', *European Journal of Political Research*, Vol. 9 (1981), pp. 181–99; Sanders, Ward and Marsh *op. cit.*

been strongly related to variations in government popularity; in others, inflation (or some other variable) has become rather more important. In these changing circumstances, universal generalisation about the relationship between popularity and the state of the economy becomes impractical: it is necessary, instead, to provide different analyses (that is, different statistical models) for different time periods. The problem then becomes one of model-representativeness.

Consider a situation in which model A offers the best fit for variations in British government popularity during the 1970–79 period; model B provides the best fit for the 1979–87 period; and model C the best fit for 1987–90. (Suppose, further, that an ‘aggregate’ of all three models fails to provide a good fit when it is applied to any one of these time periods.) If we wished to predict the likely movements in government popularity over the 1991–92 period, which of the three models would most likely be of assistance? The answer to this question would clearly depend on whether, in terms of the relationship between the economy and popularity, 1991–92 was going to be more like 1970–79, 1979–87 or 1987–90. Since we cannot know the future and since there is no statistical way of deciding which of the three models is likely to be the most appropriate, deciding between them becomes a highly judgemental exercise. This said, however, it seems plausible to argue that the economic issues which have been of greatest concern to voters in the recent past are those most likely to be of continuing concern to them in the near future. On this basis, the present study concentrates on the relationship between government popularity and the macro-economy in the period since the beginning of 1987; a period which includes the run-up to the 1987 election, the economic ‘boom’ of 1987–88 and the slide towards recession which became increasingly evident during the course of 1989. What the analysis presented reveals is that certain macroeconomic variables were crucially important influences on government popularity during the 1987–90 period: in my view it is the movements in these same variables which, over the next eighteen months or so, will determine the outcome of the next general election. It is, of course, very easy to observe that the government ‘must get the economy right by the time of the next election’. The ensuing analysis seeks to specify precisely what ‘getting the economy right’ actually entails in terms of specifiable policy objectives.

The model

Previous research into British government popularity during the 1980s has shown that the economic forces appear to influence electors’ attitudes towards the government in two different, if complementary, ways.⁷ One

⁷ David Sanders, Hugh Ward and David Marsh, ‘Macroeconomics, the Falklands War and the Popularity of the Thatcher Government’, in Helmut Norpoth, Michael Lewis-Beck, Jean-Dominique Lafay (eds), *Economics and Politics: The Calculus of Support*, Ann Arbor, Michigan: University of Michigan Press, 1991 forthcoming.

set of effects derives from the 'objective' state of the economy as a whole: the better the overall performance of the economy – measured variously in terms of the rate of economic growth, the condition of the balance of payments, the level of unemployment or even the external value of sterling – the more likely it is that the incumbent government will be rewarded with a high level of popular support. It is probable, moreover, that these 'objective', 'evaluative', effects are filtered by the interpretative endeavours of the mass media: good economic performance is much more likely to elicit electoral reward if it is portrayed in very positive terms by the media.⁸ A second set of economic effects are rather more 'subjective' and 'instrumental'. They are concerned with the extent to which macro-economic changes are perceived by voters as affecting their own narrow self-interests. If voters perceive that they are 'doing very well' as a result of current policies, they are more likely to lend their instrumental support to the party in power.

The difficult analytic problem, of course, is identifying suitable indicators either of the 'objective' state of the economy or of electors' subjective assessments of the extent to which their own economic self-interests are being promoted by current government policies. It is certainly the case, as implied above, that efforts to specify the former are necessarily hampered by the fact that the major 'objective' macroeconomic variables are of differential importance in different time periods. Nonetheless, in the context of the late 1980s, it seems reasonable to suppose that the potential effects of inflation, unemployment, interest rates and the exchange rate at least need to be considered. On the subjective side, however, matters are a little more straightforward. As argued elsewhere, the best indicator of electors' subjective economic perceptions is probably voter confidence about the economic future and in particular electors' personal expectations about the economic future of their own households. Significantly, measures of aggregate personal economic expectations are available on a month-by-month basis, so that it becomes a relatively simple task to establish the extent to which they appear to track monthly movements in government popularity. For purposes of historical comparison it is worth noting that the personal expectations index employed here rose from -1 in January 1983 to +5 at the time of the June 1983 election; in 1987, the equivalent figures were +1 and +20.

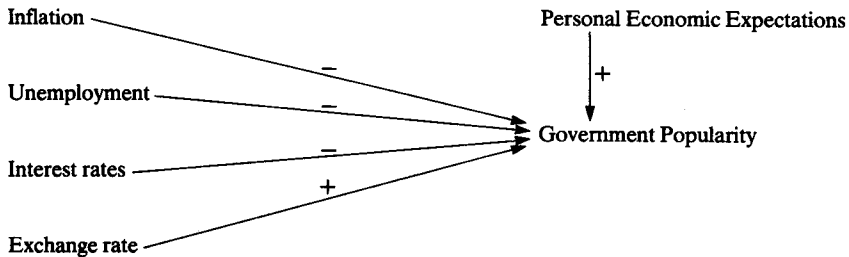
A simple hypothetical model of the direct economic influences upon government popularity is shown in Figure 1. On the one hand, it is assumed that the 'objective' state of the economy can be measured by any one or combination of unemployment, inflation, interest rates and the exchange rate⁹: the better the economy performs on any or all of these indicators, the higher the electorate's 'evaluative' assessment of the

⁸ Paul Moseley, *The Making of Economic Policy*, Brighton: Wheatsheaf, 1984.

⁹ The exchange rate measure used here is sterling against the dollar. Prior to Britain's ERM entry, this appears to have been a better measure of foreign confidence in sterling than either the sterling index or the pound against the Deutschmark.

EVALUATIVE
"OBJECTIVE" EFFECTS

INSTRUMENTAL
EFFECTS



* A plus sign denotes a predicted positive relationship; a minus sign a predicted negative relationship.

FIGURE 1 Hypothesised Model of the Effects of the Macro-economy on Government Popularity in Britain, 1987–1992*

government will be. 'Instrumental' evaluations of the government's economic performance, on the other hand, are measured by personal economic expectations; by how optimistic people are, on average, about their own future economic prospects.¹⁰

Table 1 reports the results from a series of Ordinary Least Squares (OLS) equations which seek to test the model described in Figure 1 for the period January 1987–December 1990.¹¹ Four main conclusions can be derived from the table. First, whichever 'evaluative' indicator(s) is (are) employed in any given equation, the 'instrumental' personal expectations index consistently exerts a highly significant statistical effect on government popularity (see the *t*-ratios for the expectations variable in each equation). Second, as the 'lag' for the expectations variable indicates, changes in expectations do not seem to affect government popularity

¹⁰ The Personal Expectations index employed here is derived from the regular monthly Gallup question which asks respondents how well off they think their household is likely to be over the next twelve months. The response options are: a lot better off; a little better off; about the same; a little worse off; a lot worse off. The index is obtained by subtracting the percentage of respondents who think they will be worse off from the percentage who think they will be better off.

¹¹ It should be stressed that the results reported here are all based on non-detrended data. I deliberately eschew the use of Box-Jenkins' time-series methods – which require pre-whitening of the data to achieve mean and variance stationarity – for two reasons: first, because it is the overall (non-linear) *trend* in government popularity as much as the month-by-month fluctuations in it that requires explanation; and second, because this trend is in my view *causally* related to the (similarly non-linear) trend in personal expectations. In such a situation – where it is suspected that the trends in variables are causally connected – even Box and Jenkins counsel that data should not necessarily be pre-whitened. See the quotation in R. McCleary and R. A. Hay, *Applied Time Series Analysis for the Social Sciences*, Beverly Hills: Sage, 1980, p. 36.

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instantaneously: it takes in the region of three to four months for the effects of changing expectations to work through to changes in popularity.¹² Third, of the four 'objective' indicators of the state of the macro-economy, only one consistently yields a significant coefficient; interest rates. Inflation (see Table 1, equation 2), unemployment (equation 3), and the exchange rate (see equation 5) all provide non-significant coefficients when the effects of personal expectations are taken into account. A fourth conclusion suggested by Table 1 is that the 'best' equation of all those reported—the one that provides the most plausible statistical explanation of monthly changes in government popularity over the 1987–90 period – is undoubtedly equation 4. This equation is not only extremely parsimonious, but it also furnishes highly significant coefficients for both predictor variables while at the same time maximising corrected R^2 and maintaining a very high F-ratio.¹³ The observed monthly popularity scores and the predicted popularity scores derived from this equation are shown in Figure 2. Although there are some months – inevitably – when the predictions are not particularly accurate, in general the predicted scores track the observed scores remarkably well; particularly in terms both of the rapid increase in popularity which accompanied the Lawson 'election boom' of 1987 and of the gradual decline in popularity which subsequently occurred as the negative longer-term economic consequences of that boom began to make themselves felt.

What all of this suggests is that movements in government popularity during the 1987–90 period can be predicted remarkably well from a knowledge of just two independent variables: the level of personal economic expectations (lagged by 3–4 months) and the interest rate (lagged by one month). If we add an expression to the equation to take account of the dip in government popularity which accompanied the introduction of the Community Charge in March–April of 1990, movements in popularity between 1987 and 1990 can be described very simply in terms of the following linear equation:

$$\begin{aligned} \text{Government Popularity}_t(\%) = & 23.85 + .53 \text{ Popularity}_{t-1} \\ & + .12 \text{ Personal Expectations}_{t-3} \\ & - .36 \text{ Interest Rates}_{t-1} \\ & - 4.5 \text{ Poll Tax} \end{aligned}$$

$$\text{Corrected } R^2 = .90 \quad \text{DW} = 2.35 \quad (\text{for } t\text{-statistics, see Figure 3}),$$

¹² This finding is slightly different from the pattern evident in the early 1980s. During the first Thatcher term, expectations and popularity tended to move together simultaneously: when expectations went up (down) so did popularity. During the 1980s, a lag gradually crept into the relationship: as the electorate perhaps became rather more cynical about attempts to manipulate its collective expectations, increases in expectations did not elicit an immediate increase in popularity.

¹³ Serial correlation tests also revealed that there was no autoregressive or moving average process generating the residuals: the fact that government popularity can be modelled satisfactorily using simple OLS techniques supports the notion that the equation has been correctly specified.

TABLE 1 ALTERNATIVE MODELS OF THE EFFECT OF THE ECONOMY ON GOVERNMENT
POPULARITY***, FEBRUARY 1987–NOVEMBER 1990**

Independent variable	Equation 1	Equation 2	Equation 3	Equation 4	Equation 5	Equation 6
Popularity _{t-1}	.58 (5.45)	.56 (5.32)	.60 (5.41)	.55 (5.25)	.48 (3.85)	.48 (4.20)
Personal expectations _{t-3*}	.17 (3.68)	.12 (2.12)	.15 (2.23)	.12 (2.24)	.23 (4.10)	.14 (2.19)
Inflation _{t-1}		-.19 (1.70)				-.40 (1.63)
Unemployment _{t-1}			-.15 (.57)			-.19 (1.24)
Interest rate _{t-1} (Bank of England base rate)						-.46 (1.25)
				-.36 (1.95)		

Exchange rate (£ vs \$)						4.34 (1.27)	
Constant	17.5 (3.90) 46	19.09 (4.25) 46	15.72 (2.84) 46	23.06 (4.43) 46		14.51 (2.45) 46	30.59 (3.67) 46
N							
$\bar{R}^2$	.88	.88	.88	.89		.89	.89
F	168.21 (2.43) 2.10	118.07 (3.42) 2.02	110.49 (3.42) 2.12	120.67 (3.42) 2.08		107.68 (3.42) 2.05	73.19 (5.40) 1.95
DW							

* The expectations variable appears to influence government popularity with a lag of 3 to 4 months; the expectations measure used here is the arithmetic average of expectations at $t-3$ and $t-4$.

** All equations were checked systematically for serially correlated error and for parameter stability (t-statistics are in parentheses). Equation 4, the best equation presented, passes all the standard parameter stability tests, including CUSUM, CUSUMSQ and recursive coefficient tests. Following conventional econometric practice, an expression for the lagged dependent variable (popularity_{t-1}) is included on the right hand side of each equation. The coefficient on the popularity_{t-1} variable is generally taken to denote the 'discount rate'; the rate at which past shocks to popularity decay.

*** The monthly government popularity measures are the average of the major national monthly polls (Gallup, MORI, ICM, Harris, NOP, NMR).

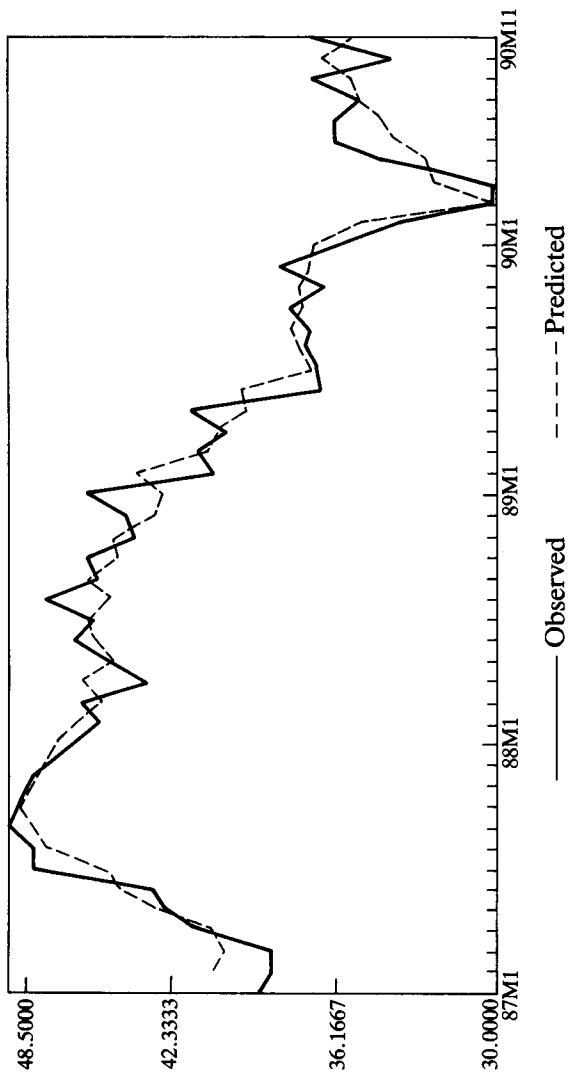


FIGURE 2 Observed and Predicted Popularity Scores, 1987-1990

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where Poll Tax is a dummy variable taking the value of unity in March 1990 and zero otherwise. The direct implication of this simple model of popularity is that, if it can be assumed that the same patterns of inter-relationship will continue through to the next election, a revival of government popularity can be engineered either through a recovery in expectations and/or through a sustained reduction in interest rates.

Unfortunately, achieving these objectives is not as easy as it sounds. While sterling remained outside the ERM, the British government enjoyed a considerable degree of latitude to adjust interest rates in line with its 're-election strategy'. Falling interest rates might well be accompanied by a decline in sterling's external value, but provided the reductions were gradual – as they were in 1986–87 – it could safely be assumed that the 'costs' to popularity that derived from a weakening pound¹⁴ would be more than outweighed by the gain to popularity which followed from the 'good economic news' represented by interest rate reductions. Inside ERM, however, the British government is obliged to keep sterling within its specified 6% bands around DM2.95. This means that, since October 1990, the Chancellor has had far less freedom to adjust interest rate policy. If the currency markets decide that interest rates are falling either too fast or too far, private short-term capital will almost certainly be withdrawn from sterling accounts, causing serious downward pressure on the pound's international value. Given the huge political embarrassment that would undoubtedly result if the present government tried to negotiate a formal ERM 'realignment' of sterling (i.e. a devaluation) before the next election, any such downward pressure on the pound would require the Chancellor, instead, to revise interest rates *upwards* in order to attract short-term capital back to London, and thereby keep sterling above its ERM 'floor'.

But if Chancellor Lamont's freedom to reduce interest rates is heavily constrained inside ERM, what of his ability to raise aggregate 'personal economic expectations' before the next election? What, indeed, do 'personal expectations' depend upon? Here, too, there is no escape from the effects of interest rates. As Table 2 shows, between February 1987 and October 1990, personal expectations depended to a significant degree on interest rates and on inflation.¹⁵ This conclusion is essentially

¹⁴ These effects can be estimated from the following equation for the period January 1987 to September 1990, the last month before Britain's ERM entry:

$$\begin{aligned} \text{Popularity}_t = & 12.72 + .49 \text{ Popularity}_{t-1} + .19 \text{ Personal Expectations}_{t-3} \\ & (2.63) \quad (4.65) \quad (4.19) \\ & + 4.97 \text{ Exchange Rate}(\text{£ against \$}) - 4.4 \text{ Poll Tax dummy} \\ & (1.82) \quad (2.73) \end{aligned}$$

$$\text{Corrected } R^2 = .91 \quad \text{DW} = 2.26$$

This implies, for example, that a 20 cent fall in the £ against the \$ from, say, \$1.95 to \$1.75, would cost the government around one percentage popularity point.

¹⁵ It should be noted that inflation only became a significant predictor of expectations after it exceeded 7% in April 1989: prior to that date, inflation was presumably not so

unsurprising: the two issues which dominated the financial pages of the press during 1988–90, and which most obviously affected the buying power of the average elector, were interest rates and inflation. What the table suggests specifically is that the government (a) lost just over two expectations points for every percentage point rise in interest rates and (b) lost just under one expectations point for every percentage point increase

TABLE 2 MODEL FOR AGGREGATE
PERSONAL ECONOMIC
EXPECTATIONS: FEBRUARY
1987–OCTOBER 1990**

Inflation _t *	-.78 (1.80)
Interest rates _{t-1}	-2.32 (3.11)
Poll tax term***	1.03 (4.70)
Constant	27.77 (3.28)
N	45
$\bar{R}^2$	.88
DW	1.95
u_{t-1}	.28 (1.82)
u_{t-2}	.40 (2.59)

* The inflation measure used here is zero until January 1989, when inflation exceeded 7%: it was only at this point that inflation appears to have affected aggregate economic expectations.

** t-statistics in parentheses.

*** The poll tax term specifies an (empirically determined) effect of -16 percentage points in March 1990 and -8 percentage points in April 1990.

in inflation. In September 1990 the personal expectations index stood at -15. Given that, as noted above, the Conservatives went into the 1983 and 1987 elections with expectations scores of +5 and +20 respectively, Norman Lamont was faced with a difficult problem of electoral strategy. On the one hand, if he maintained a very high interest rate policy for too long – in order both to protect sterling and ‘squeeze inflation out of the

important as an issue as it subsequently became. The ensuing analysis assumes that now inflation has ‘tripped in’ as an influence on expectations, it will continue to exert an effect even if it falls below this 7% threshold.

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system' – he risked incurring continuing damage to electors' personal economic expectations, with the attendant possibility that the Conservative Party would be obliged to enter the next general election with expectations at an unprecedentedly low level. On the other hand, if he reduced interest rates too rapidly, he risked not only a resurgence in inflation but also a revival in the demand for imports, a possible balance of payments crisis and a serious run on the pound. There were certainly precedents, during the 1980s, for rapid interest rate reductions – Geoffrey Howe had reduced them, to great electoral effect, from 15.5% in October 1981 to 9% in November 1982 – but Mr Lamont could not be sure that he would be able to reduce rates either fast enough or far enough to produce the desired electoral effect for 1991–2.

**TABLE 3 PREDICTED EXPECTATIONS
SCORES FOR FEBRUARY/MARCH 1992 BASED
ON VARYING ASSUMPTIONS ABOUT INTEREST
RATES AND INFLATION IN FEBRUARY 1992**

	Inflation		
	5%	7%	10%
Interest Rates			
9%	3.0	1.5	-0.9
10%	-1.6	-3.1	-5.5
11%	-2.7	-4.3	-6.6
12%	-3.9	-5.5	-7.8
13%	-6.3	-7.8	-10.1

Table 3 presents a set of simulated forecasts for personal expectations derived from the expectations equation reported in Table 2. Each simulated forecast makes a different set of assumptions about the level of interest rates and the rate of inflation in the run-up to the next general election. Since the Chancellor probably requires as much time as possible to bring inflation properly under control, it is assumed throughout that the election will be held as late as is legally feasible: in May or June 1992. The three- to four-month lag between changes in expectations and changes in popularity, which was noted in Table 1, means that the government needs 'to get expectations right' some three to four months before the election itself; the one-month lag between interest rate changes and expectation changes, reported in Table 2, means that Mr Lamont's 'target' interest rate needs to be in operation at least four months before the election occurs: preferably by February 1992 at the latest. This date is accordingly assumed as the target date for both interest rates and inflation for all the simulation results shown in Table 3.

Table 3 itself suggests two main conclusions. First, and most obviously, if inflation and interest rates were to remain at the levels prevalent in late

1990 (10% and 14% respectively), the government could expect to achieve an expectations score something worse than -10 in the Spring of 1992. Given that even the modest victory of 1983 was based on an expectations score of +5, this is a situation that the government would clearly wish to avoid. The second main conclusion suggested by Table 3 is that for the government to get close to the expectations level of June 1983 it would at least need to get interest rates down to around 9% by February of 1992.

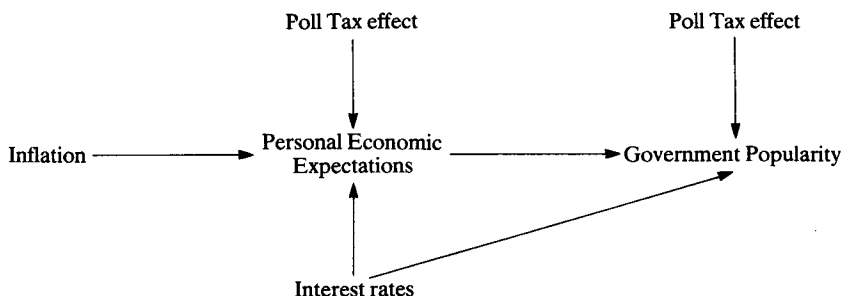
TABLE 4 FORECASTS OF GOVERNMENT POPULARITY (% SHARE OF THE POPULAR VOTE) IN MAY/JUNE 1992 BASED ON THE MODEL DESCRIBED IN FIG. 3*

Interest Rate	Inflation		
	5%	7%	10%
9%	43.8	43.5	42.9
10%	42.5	42.1	41.5
11%	41.5	41.1	40.5
12%	40.8	40.4	39.8
13%	39.4	39.0	38.5

* These forecasts assume that the 'honeymoon' effect of John Major's premiership, though it certainly boosted Conservative popularity in November and December 1990, dissipates rapidly in early 1991. See section (4) for further discussion of this point.

The implications of these findings for the likely popularity of the government are shown in Table 4. Figure 3 summarises the simple recursive model upon which these predictions are based. As the table shows, if interest rates were to fall to 9% and inflation to 5% by the Spring of 1992, the Conservatives could expect to obtain almost 44% of the vote in a June election. On the other hand, if inflation remained 'stuck' at around 10%, in turn necessitating the maintenance of high interest rates (say 13%), Conservative support could be as low as 38.5%. However, to make predictions (given certain assumptions about the state of the economy) about the likely size of the Conservative vote in 1992 says nothing about either the role that the opposition might play in the battle for votes or the chances that the Chancellor will indeed be able to 'get the economic indicators right'. It also says nothing about the impact of the change in Conservative leadership that took place in November 1990. It is these issues that are addressed in the next two sections.

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$$\begin{aligned}
 \text{(i) } \text{Popularity}_t &= 23.85 + .53 \text{Popularity}_{t-1} + .12 \text{Personal Expectations}_{t-3} \\
 &\quad (4.92)(5.45) \qquad \qquad \qquad (2.34) \\
 &\quad - .36 \text{Interest rates}_{t-1} - 4.50 \text{Poll Tax} \\
 &\quad (2.07) \qquad \qquad \qquad (2.75)
 \end{aligned}$$

$$\begin{aligned}
 \text{(ii) } \text{Personal Economic Expectations}_t &= 27.80 - 2.32 \text{Interest rates}_{t-1} - .78 \text{Inflation}_t^{**} \\
 &\quad (3.28) \quad (3.11) \qquad \qquad \qquad (1.80) \\
 &\quad - 1.03 \text{Poll Tax effect} + .28 u_{t-1} + .40 u_{t-2} \\
 &\quad (4.70) \qquad \qquad \qquad (1.83) \quad (2.59)
 \end{aligned}$$

Equation (i) is estimated using OLS; equation (ii) using AR(2) Gauss-Newton Maximum Likelihood.

* See Table 1 for definition.

** See Table 2 for definition.

FIGURE 3 Recursive Model of Government Popularity used for the Predictions shown in Table 4

Labour's recovery and the third party vote

It is certainly the case that the relatively large third party vote in the 1987 general election (25.2% of the total votes cast) contributed significantly to the size of the Conservative victory: on some 43.5% of the poll, the Conservatives secured a Commons majority of 100 seats. Although the strength of the third party vote in 1987 was undoubtedly partly the result of the intrinsic attractiveness of the Liberal-Social Democrat Alliance, it also resulted from the general weakness of the Labour Party.¹⁶ In the period after June 1987, however, two developments transformed the British political landscape. First, the damaging merger negotiations between the Liberals and the Social Democrats which occurred in the immediate wake of the election, together with the divisions engendered by

¹⁶ See Ivor Crewe, 'Why Mrs Thatcher was Returned with a Landslide', *Social Studies Review*, Vol. 3 No. 1 (1987), pp. 2-9.

David Owen's 'Continuing SDP', produced a collapse in the centre-party support. Notwithstanding the surge in support for the Greens in the Spring of 1989,¹⁷ by December 1989 the Liberal Democrats and SDP combined were achieving a mere 9% popularity rating in the opinion polls.¹⁸

TABLE 5 PERCENTAGE OF RESPONDENTS AGREEING/
DISAGREEING WITH THE STATEMENT THAT 'LABOUR
HAS BECOME TOO EXTREME', 1983-89

	Agree	Disagree	Extremism score*
Nov 1983	60	31	+29
Jan 1984	62	26	+36
May 1984	58	34	+24
Sept 1984	62	28	+34
Jan 1985	65	27	+38
April 1985	57	34	+23
Sept 1985	59	33	+26
Jan 1986	60	30	+30
April 1986	57	34	+23
Sept 1986	49	44	+5
Jan 1987	53	37	+16
April 1987	67	24	+43
Sept 1987	56	35	+21
Sept 1988	49	44	+5
April 1989	48	40	+8
Sept 1989	29	61	-32

* 'agree' minus 'disagree'.

Source: Gallup Polls. Don't knows excluded.

The second major change after 1987 was the gradual political rehabilitation of Neil Kinnock's Labour Party, particularly after the publication of its 'Policy Review' in May 1989. Throughout the early and mid 1980s, Labour had suffered badly from its public image as a party of extremists. As Table 5 shows, however, the electorate's view changed considerably during the course of 1989: by September of that year Labour's 'extremism rating' was clearly negative, with 61% of the electorate disagreeing with the proposition that 'Labour has become too extreme'. As Table 6 indicates, a similar transformation also took place in voters' views of Labour as a 'responsible' party: in August 1989, Labour's

¹⁷ The Green Party experienced a considerable surge in popularity at the time of the European Parliament elections in May 1989, receiving some 15% of the popular vote.

¹⁸ The December Gallup poll reported in the *Daily Telegraph* gave the Liberal Democrats 9% and the SDP 3% support. An ICM poll reported in *The Guardian* gave corresponding figures of 4% and 3%. The December MORI poll reported in the *Sunday Times* gave the Democrats 6% and the SDP 3%.

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'responsibility rating' stood far higher than at any time since 1984. To Walworth Road's delight, these changing perceptions were reflected in a sustained improvement in Labour's standing in the opinion polls: as Table 7 shows, in the eighteen month period from May 1989 Labour was consistently ahead of the Conservatives in the major polls, with an estimated lead in early November 1990 of around 10%.

TABLE 6 CHANGING RESPONSES TO LABOUR AS 'A RESPONSIBLE PARTY', 1984-89

	More responsible	Less responsible	No change	Responsibility rating*
June 1984	26	25	42	+1
March 1985	26	28	39	-2
June 1985	35	19	37	+16
Sept 1985	25	25	43	0
Jan 1986	33	21	37	+12
Sept 1986	33	17	46	+16
Sept 1987	31	19	46	+12
May 1988	33	19	40	+14
Sept 1988	29	21	45	+8
April 1989	46	12	36	+34
August 1989	49	9	35	+40

* 'more responsible' minus 'less responsible'.

Source: Gallup Polls. Don't knows excluded.

What, then, did the decline of the centre parties and the revival of Labour imply for the subsequent fortunes of the government? There was clearly some cause for concern at Conservative Central Office. In terms of simple electoral arithmetic, the decline of the third party vote meant that the Conservatives obviously required a greater absolute percentage of the total poll. With a third party vote of 24%, for example, the Conservatives needed only $(100 - 24)/2 + 1 = 39\%$ of the popular vote to secure a 2% lead over Labour: with the attendant expectation that the Government would at least maintain a bare Commons majority as a result. A third party vote of only 16%, however, raised the stakes significantly: in circumstances such as these, to achieve the same 2% lead over Labour, the Conservatives would require a vote share of $(100 - 16)/2 + 1 = 43\%$. This was where Labour's resurgence achieved potential significance. Although the Conservatives undoubtedly picked up some support as a result of the declining political centre, it became increasingly apparent during the course of 1989 that Labour was now equally capable of making electoral progress at the direct expense of the Liberal Democrats and the SDP. In both 1983 and 1987 the Conservatives had benefitted

enormously from the split in the opposition vote: events during 1989 suggested that they would probably not be so fortunate in 1992.

The problem for party strategists on all sides was that they did not know how serious the problem was. As Table 8 shows, historical experience

TABLE 7 THE CHANGING OPINION POLL RATINGS OF
MAJOR POLITICAL PARTIES JANUARY 1989–DECEMBER
1990*

		Conservative	Labour
1989	January	45.5	36.5
	February	40.7	38.9
	March	41.3	39.1
	April	40.2	39.0
	May	41.5	41.2
	June	36.6	45.0
	July	36.7	43.0
	August	37.2	43.8
	September	37.0	44.0
	October	37.8	46.0
	November	36.5	46.8
	December	38.1	46.0
1990	January	36.4	47.1
	February	34.5	50.0
	March	30.8	52.8
	April	31.1	52.3
	May	34.1	48.6
	June	35.9	49.0
	August	36.8	48.1
	September	35.9	46.7
	October	34.0	48.0
	November (pre-Major)	37.0	47.0
	November (post Major)	47.0	40.0
	December	47.0	40.0

* Figures reported are the averages derived from the major polls (any combination of Gallup, MORI, ICM, Harris, NMR, NOP) conducted each month. The figures refer to the percentage of respondents saying they would vote for each party 'if there were a General Election tomorrow'. Don't knows excluded from the percentage base.

offered little guide to the likely strength of the third party vote in 1992. On the one hand, if the 1990s were going to be like the 1960s, then it would be prudent to assume a third party vote of 10%, which in turn implied a minimum Conservative target vote of $(100 - 10)/2 + 1 = 46\%$. On the other hand, if the 1990s proved to be like the 1970s and 1980s, a third

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party vote share of at least 20% seemed likely, implying that the Conservative target vote would need to be no higher than $(100 - 20)/2 + 1 = 41\%$ if Mrs Thatcher were to be returned to office for a fourth term. But if previous election results suggested no firm conclusions about the size of the third-party vote in the next election, the experiences of the 1987–90 period were not much of a guide either. As Figure 4 shows, although the lowest third party support level during that period was 14% (implying a target Conservative vote of $(100 - 14)/2 + 1 = 44\%$), it was entirely possible that as the election approached a recovery in Liberal Democrat support – or even an expansion in Green support – might be achieved. Prior to Michael Heseltine's leadership challenge in November 1990, it almost looked as if the Conservative Party had every interest in 'talking up' the third party vote – at least to around 20% – in order to reduce the 'target vote' that it required in order to secure yet another general election victory.

TABLE 8 CONSERVATIVE, LABOUR AND THIRD-PARTY SHARES OF THE UK POPULAR VOTE (%) IN GENERAL ELECTIONS, 1959–1987

	Conservative	Labour	Other = Third Party
1959	49.4	43.8	6.8
1964	43.4	44.1	12.5
1966	41.9	47.9	10.2
1970	46.4	43.0	10.6
1974 (Feb)	37.9	37.1	25.0
1974 (Oct)	35.8	39.2	25.0
1979	43.9	36.9	19.2
1983	42.4	27.6	30.0
1987	43.3	31.5	24.2

The confounding effects of the change of leadership

Whatever assumptions were made about the size of the third party vote, however, it was clear by October 1990 that the government needed to do something to reverse the 10–15% opinion poll lead that Labour had consistently enjoyed over the Conservatives since the winter of 1989. It was recognised that the economy would certainly improve by the time of the next election (whenever that might be), but it was feared that, under the leadership of Mrs Thatcher, the improvement might not be sufficient to secure a fourth Conservative victory. The projections suggested by the major econometric forecasting houses were not particularly encouraging. Most, including the Treasury's own model, anticipated a steady, if

unalarming, increase in unemployment throughout 1991 as a result of the anti-inflation, high interest rate policies of 1989–90. Equally, however, it was generally agreed that inflation was very likely to fall throughout 1991, probably to around 5%, or even 4%, by the Spring of 1992. Such an eventuality, it was assumed, would permit interest rates to be reduced quite considerably during 1991 and 1992 without damaging sterling's international value against the Deutschmark, one of the requirements of Britain's continued membership of the ERM.

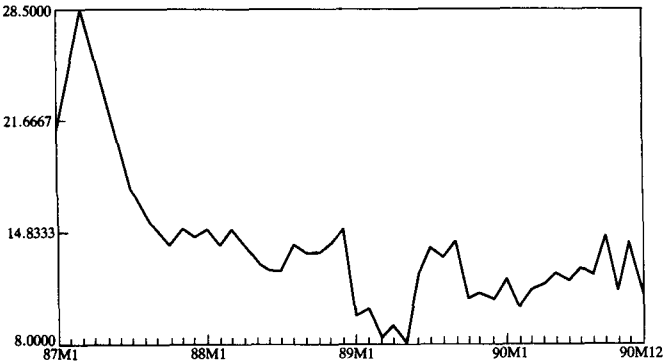


FIGURE 4 Variations in Third Party Support, 1987–1990

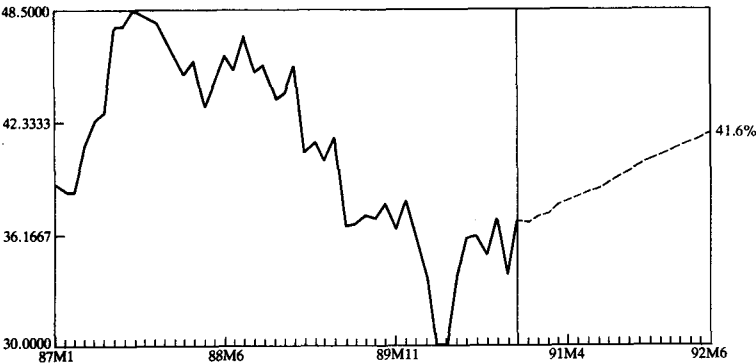


FIGURE 5 Forecast Popularity, Assuming No Leadership Change

Figure 5 simulates the revival in support that the Conservatives could have expected to receive had they (a) retained Thatcher as leader and (b) effected reductions in inflation and interest rates during 1990–91 along the lines envisaged for the economy by one of the major forecasting

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houses.¹⁹ On the basis of these simulations, it is clear that under Mrs Thatcher – even with a modest economic recovery – the Conservatives could only have expected to secure around 41.5% of the vote in June 1992: a figure that would probably have resulted in a hung Parliament. While it is unlikely that any of the Conservative MPs who failed to support Thatcher in the November 1990 leadership election paid much attention to simulations of this sort, there was some evidence to suggest that Thatcher's removal might considerably improve their party's electoral prospects. For one thing, it was known (as Table 9 shows) that since the last quarter of 1989

TABLE 9 QUARTERLY VARIATIONS IN SATISFACTION WITH MRS THATCHER AS PRIME MINISTER COMPARED WITH THE POPULARITY OF THE CONSERVATIVE PARTY, 1979–90

% Satisfied with Thatcher minus % intending to vote Conservative	% Satisfied with Thatcher minus % intending to vote Conservative	% Satisfied with Thatcher minus % intending to vote Conservative
	1983: 1 +5	1987: 1 –
	1983: 2 +3	1987: 2 –
1979: 3 +7	1983: 3 +7	1987: 3 +2
1979: 4 +9	1983: 4 +5	1987: 4 –
1980: 1 +7	1984: 1 +6	1988: 1 +1
1980: 2 +9	1984: 2 +4	1988: 2 –1
1980: 3 +7	1984: 3 +3	1988: 3 +1
1980: 4 +4	1984: 4 +4	1988: 4 +2
1981: 1 +3	1985: 1 +2	1989: 1 +1
1981: 2 +3	1985: 2 +4	1989: 2 –
1981: 3 –	1985: 3 +6	1989: 3 –1
1981: 4 +2	1985: 4 +3	1989: 4 –5
1982: 1 +3	1986: 1 +2	1990: 1 –3
1982: 2 +4	1986: 2 –1	1990: 2 –6
1982: 3 +5	1986: 3 +1	1990: 3 –4
1982: 4 +4	1986: 4 –3	

Source: Gallup Polls.

public satisfaction with Mrs Thatcher had been consistently lower than support for the Conservative party; a clear reversal of the pattern evident between 1979 and 1984. For another, a large number of opinion polls conducted at the time of the leadership contest suggested that support for the Conservatives would be significantly boosted (on average, by around 10 percentage points) if Thatcher were removed from office.

¹⁹ The specific economic forecasts used here were supplied by the stockbrokers James Capel for *The Economist* (November 17–23, 1990, p. 38). The forecasts assume that by the second quarter of 1992, inflation will be down to 4% and interest rates at 11%.

Contrary to the conventional wisdom that publicly-aired divisions damage a party's electoral standing, the November leadership elections gave an enormous boost to Conservative popularity. In early December 1990, the Conservatives were averaging 47% support in the opinion polls, fully 10% above the pre-leadership crisis level. The crucial question, of course, was how long this 'honeymoon' boost was likely to last. The post-war precedents for changing prime ministers in mid-term were not particularly auspicious. When Churchill handed over to Eden in April 1955, the Conservatives' poll ratings rose briefly by around 5 percentage points but returned to their previous level within three months.²⁰ When Eden gave way to Macmillan in January 1957, Conservative support was 47%. It rose to 50% in February but was back at 47% by April. Macmillan's replacement by Home in October 1963 appeared to provide no 'honeymoon' effect at all: Conservative support was unchanged in November 1963 at 40%. Finally, when Wilson handed over to Callaghan in April 1976, government popularity increased by 5% for one month, returning to its previous level (44.5%) by June. All of this suggested that mid-term prime ministerial 'honeymoons', if such things existed at all, did not last for very long. Yet John Major's 'boost' – at 10% – was clearly much larger than anything encountered previously. Would it disappear over the next three months, or might some part of it (or even all of it) be retained through to the next election?

Figures 6–8 simulate three alternative scenarios for future movements in popularity based on different assumptions about the 'decay' in the Major 'honeymoon' factor. *The scenarios all make the same (improving) economic assumptions as the forecasts shown in Figure 5.* Figure 6 assumes, somewhat improbably, that the Major 'honeymoon' is permanent; an assumption which would virtually guarantee a Conservative victory at the next election, whenever it is held. Figure 7 assumes that the 'Major effect' decays at the known 'discount rate'; that is, at the rate at which the electorate appears to discount the past. From Figure 3 equation (i), it can be inferred that this discount rate is around 50%.²¹ This means that Mr Major's 10% boost in December 1990 would be worth approximately 5% in January; 2.5% in February; 1.25% in March; and would effectively have disappeared by April. On this assumption, the Conservatives' long-term electoral prospects through to 1992 would be no better than if they had stuck with Mrs Thatcher and avoided the internal traumas of the leadership contest: by May/June 1992, as in Figure 5, they could expect to obtain just over 41% of the popular vote. Finally, Figure 8 assumes that the 'Major boost' decays initially at the discount rate but that John Major retains a 2.5% 'loyalty bonus'; a reflection of the possibility

²⁰ The Gallup ratings were as follows: March 52%; April 55%; May (the election month) 57%; June 55%; July 52%. The source for all figures on leadership change that follow is Gallup: 'don't knows' are excluded from the percentage base.

²¹ The precise value of the discount rate is .53: the coefficient on the lagged dependent variable, popularity_{t-1}.

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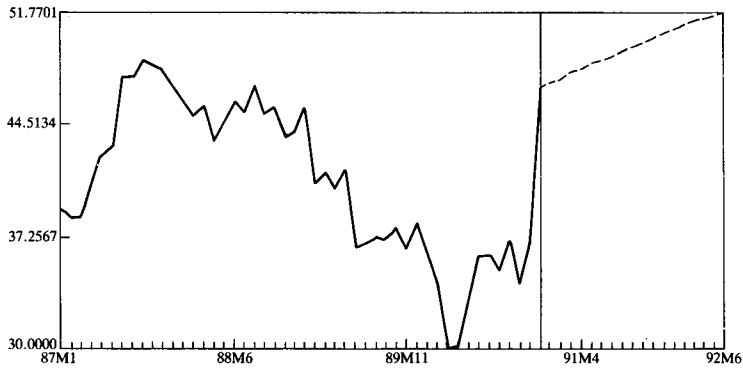


FIGURE 6 Forecast Popularity, Assuming Permanent Major 'Honey-moon'

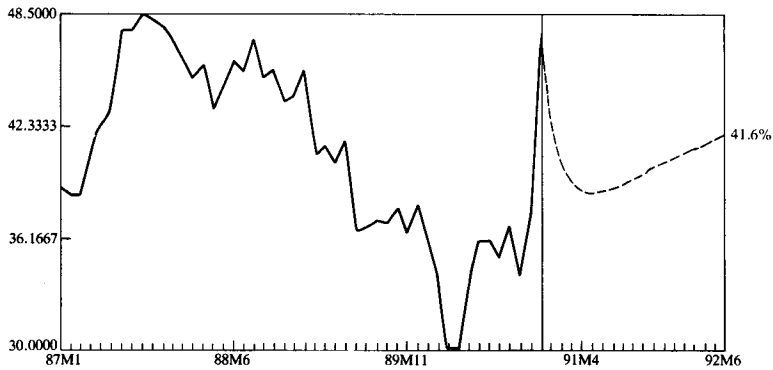


FIGURE 7 Forecast Popularity, Assuming 'Major boost' Decays Rapidly

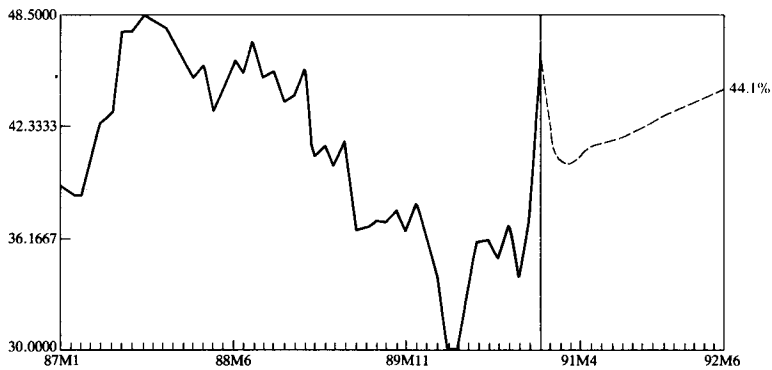


FIGURE 8 Forecast Popularity, Assuming Decay and 2.5% 'Bonus'

that Margaret Thatcher's leadership style and personality had alienated some 2.5% of the electorate who, under a new leader, would once again support the Conservatives, regardless of the state of the economy. On this assumption, the government could expect to secure just over 44% of the vote in May/June 1992.

In terms of parliamentary arithmetic, of course, it is important to know whether 41.5% or 44% – or whatever – share of the vote would be enough to secure a majority of Commons seats. Table 10 provides some guideline simulations, based on different assumptions about the size of the third party vote.²² Clearly, if the Conservatives were to achieve the 44.1% forecast by the model in Figure 8, then the government could expect to be re-elected with a good working majority, even on a third party vote of 14%. Even if the 'Major boost' dissipates very rapidly (as in Figure 7), provided that the third party share of the vote is 18%, the Conservatives could still be the largest party in the Commons on a vote share as low as 41.6%. However, the 'nightmare scenario' for the Conservatives (say, 38.5% vote share), in which (a) the 'Major boost' disappears altogether and (b) the government is obliged (for whatever reason) to maintain high interest rates throughout 1991/2, implies a clear Labour victory which-ever assumption is made about the third party vote.

Summary and conclusions

Forecasting the future is a notoriously unreliable activity. Even in the field of economics, where forecasters at least enjoy the convenience of monetary measurement, predictions about the future are frequently proven wrong by events. With 'political' data, the scope for error is potentially even greater. Indeed, it is entirely possible that by the time this paper is published its forecasts may already have been rendered redundant by events in the Gulf or elsewhere.

This said, I would argue that the exercise is still worthwhile for the light it throws on the kinds of calculations that are made by the election strategists of any governing political party. What has been demonstrated here is that for the period between January 1987 and November 1990 over 90% of the variance in government popularity can be explained by a very simple macroeconomic model: movements in popularity derived primarily from changes in personal expectations and interest rates; and movements in expectations resulted mainly from changes in inflation and (again) interest rates. To be sure, not all of the variation in government popularity was satisfactorily explained; and the model certainly did not anticipate the huge increase in popularity that the Conservatives enjoyed

²² These simulations are based on Clive and Tom Payne's BEIPS programme. The estimates reported here assume a uniform swing across the country. Although it is known that regional and constituency-type variations in swing occur, the uniform swing model proved remarkably accurate in converting vote share into seat share in both 1983 and 1987.

TABLE 10 IMPLICATIONS OF ALTERNATIVE VOTE SHARES FOR NUMBERS OF COMMONS SEATS

ASSUMPTION: THIRD PARTY VOTE = 14% [Liberal Democrats 10%; Nationalists plus Greens 4%]				ASSUMPTION: THIRD PARTY VOTE = 18% [Liberal Democrats 14%; Nationalists plus Greens 4%]			
	Vote share	Seats	Outcome		Vote share	Seats	Outcome
1. CON	41.6 ^a	301	LAB 7 short	CON	41.6	321	CON 5 short
LAB	44.4	319	of majority	LAB	40.4	294	of majority
2. CON	44.1 ^b	331	CON majority	CON	44.1	350	CON majority
LAB	41.9	290	of 12	LAB	37.9	268	of 50
3. CON	47.0 ^c	368	CON majority	CON	47.0	387	CON majority
LAB	39.0	253	of 86	LAB	35.0	232	of 124
4. CON	38.5 ^d	262	LAB majority	CON	38.5	281	LAB majority
LAB	47.5	357	of 64	LAB	43.5	335	of 12

^a Vote share figure derived from Figure 5.^b Vote share figure derived from Figure 8.^c Vote share figure for the Conservatives in December 1990, at the peak of the Major 'honeymoon'.^d Vote share figure derived from Table 4 (assumes interest rates are 13% and inflation 10%).

in the immediate wake of Mrs Thatcher's departure. If past experience is anything to go by, however, popularity 'boosts' resulting from extraordinary political events tend to be fairly ephemeral. If John Major's accession follows the 'normal' pattern, his 10% 'boost' will have disappeared completely by April 1991. However, my instinctive guess – though I have no direct empirical evidence on which to base it – is that Mr Major's leadership style may well retain for the Conservatives the sort of permanent 2.5% 'bonus' described in Figure 8. In these circumstances, if Chancellor Lamont can get interest rates down to 11% and inflation to 5% by the Spring of 1992 (as the James Capel forecasts suggest he can), the Conservatives should be well-placed for an election victory in May or June 1992.

The plausibility of this prediction – as well as its value as a guide to the outcome of the next election – depends principally on the plausibility of the assumptions that have been made throughout this analysis. One assumption – that interest rates and inflation can be regarded as truly 'independent' variables – would undoubtedly be questioned by even the most unsophisticated economist. While recognising that these 'independent' variables are indeed intimately related empirically, I would argue that *in terms of their effects on voter perceptions* (and, therefore, their effects on government popularity) they certainly appeared to operate independently between 1987 and 1990 and that it therefore makes sense to treat them as statistically independent in the relevant models. In essence, the foregoing analysis shows what Norman Lamont needs to aim for in terms of interest rates and inflation if government popularity is to recover in time for the next election: if he is unable to achieve the target rates on both variables because of exogenous shocks to the British economy, then that, I'm afraid, is his problem.

A second assumption that has been made in the present study is that the connections between government popularity and the macro-economy evident in the recent past are better guides to the immediate future than other connections that might have been evident in different time periods and/or contexts. In short, I have assumed that what mattered to voters in the 1987–90 period is more likely to be of relevance to their decision-calculus in the 1990–92 period than what mattered to voters, say, in 1945–59, in 1979–87 or even in 1945–87. I cannot demonstrate that this assumption is correct. I can merely assert that it seems plausible to me.

Finally, it is important to stress the difficulty of making any sort of firm assumption about the size of the third party vote at the next election. As suggested above, the magnitude of this vote is of crucial importance in determining the 'target' share of the poll which the Conservatives need in order to retain power. Unfortunately, the past offers no clear guide at all to the likely third-party vote in 1992. Ironically, therefore, what is likely to be a crucial influence upon the outcome of the next election is almost impossible to forecast. I'm prepared to guess that it will be in the region of 18%. This would imply a Conservative target vote share of $(100 - 18)/$

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2 + 1 = 42%. A 2% lead over Labour at this level would give the Conservatives an estimated 8-seat majority in the House of Commons.²³ Like John Major and Norman Lamont, I'll have to wait, hopefully, to see if my calculations are correct.

²³ Estimated on BEIPS, assuming that the Democrats take 14% (and the remaining third parties 4%) of the popular vote.